



Microsoft

Gold Team 4

Prathik Pittala

Anna Tarasiuk

Chloe Hung

Rubo Han

Agenda

- **Introduction**
- **Internal Analysis**
- **External Analysis**
- **Hurdles and Prospects**
- **Conclusion**



Founding and Early Growth (1975-1995)

- **1975:** Microsoft founded by Bill Gates and Paul Allen.
- **1980:** Partnership with IBM for MS-DOS.
- **1985:** Release of Windows 1.0.
- **1990:** Microsoft office was introduced, and Windows 3.0 sees widespread adoption.



Expansion and the Internet Era (1995-2005)

- **1995:** Launch of Windows 95 and Internet Explorer, revolutionizing the PC experience .
- **2001:** Launch of Windows XP and Xbox.
- **2002:** Acquisition of Navision.
- **2003:** Windows Server 2003 and Office 2003, cementing enterprise software leadership.



The Cloud and Mobile (2005-2015)

- **2007:** Launch of Windows Vista.
- **2010:** Introduction of Azure, marking Microsoft's entry into cloud computing.
- **2012:** Release of Windows 8 and the Surface tablet.
- **2014:** Satya Nadella becomes CEO, shifting focus to cloud and mobile-first strategy.

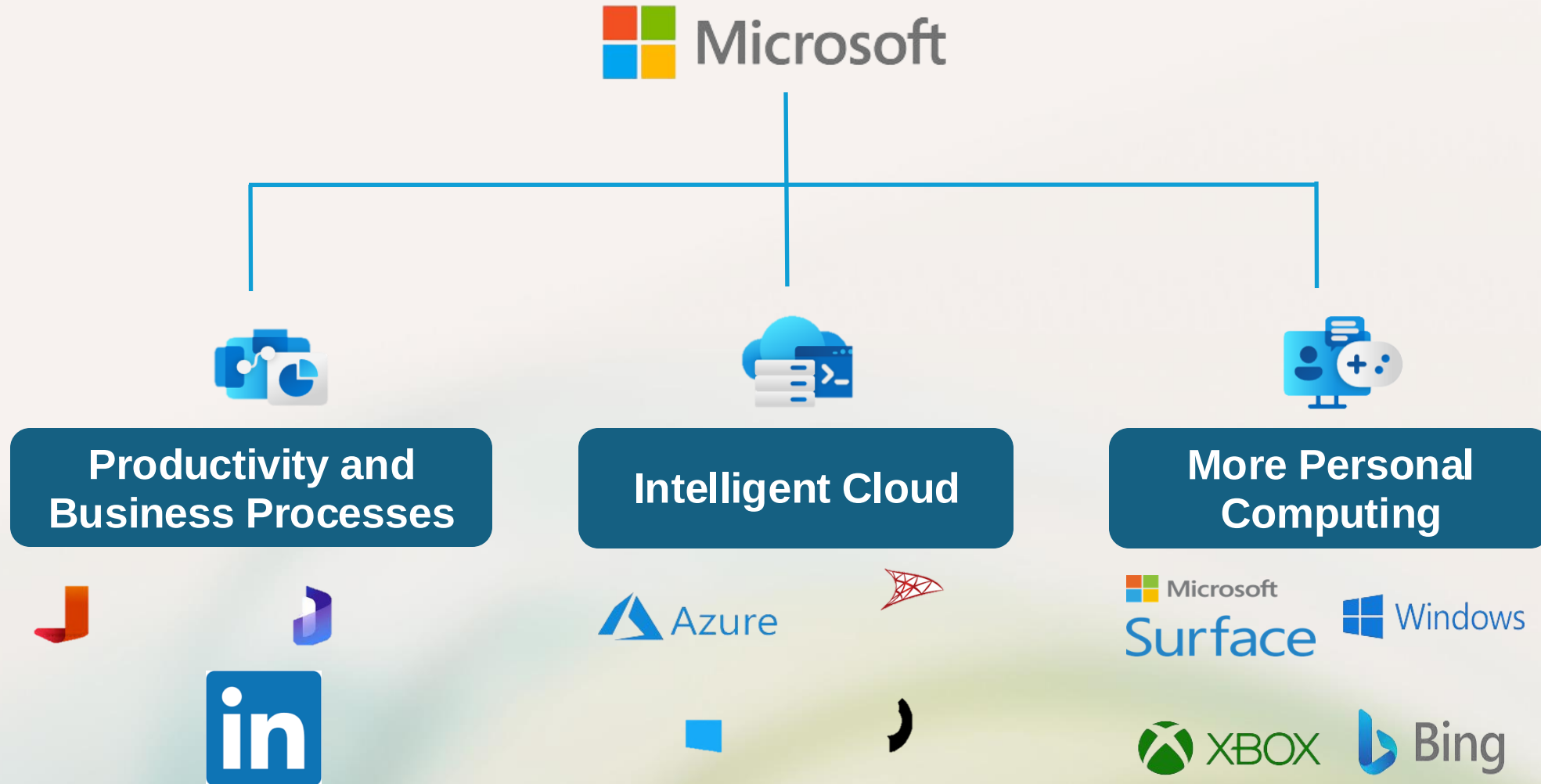


Recent acquisition(2015-Present)

- **2015:** Release of Windows 10.
- **2016:** Acquisition of LinkedIn.
- **2018:** Acquisition of GitHub.
- **2020:** Launch of Microsoft Teams, significant for remote work during the COVID-19 pandemic.
- **2021:** Continued growth in cloud services and AI development.



Microsoft's Core Product



Microsoft's Revenue Breakdown

In FY2024, Microsoft's annual revenue is \$245 billion, a 16% increase from 2023.



Productivity and Business Processes

- Generated \$78 billion in revenue
- Up 12% over the previous year.



Intelligent Cloud

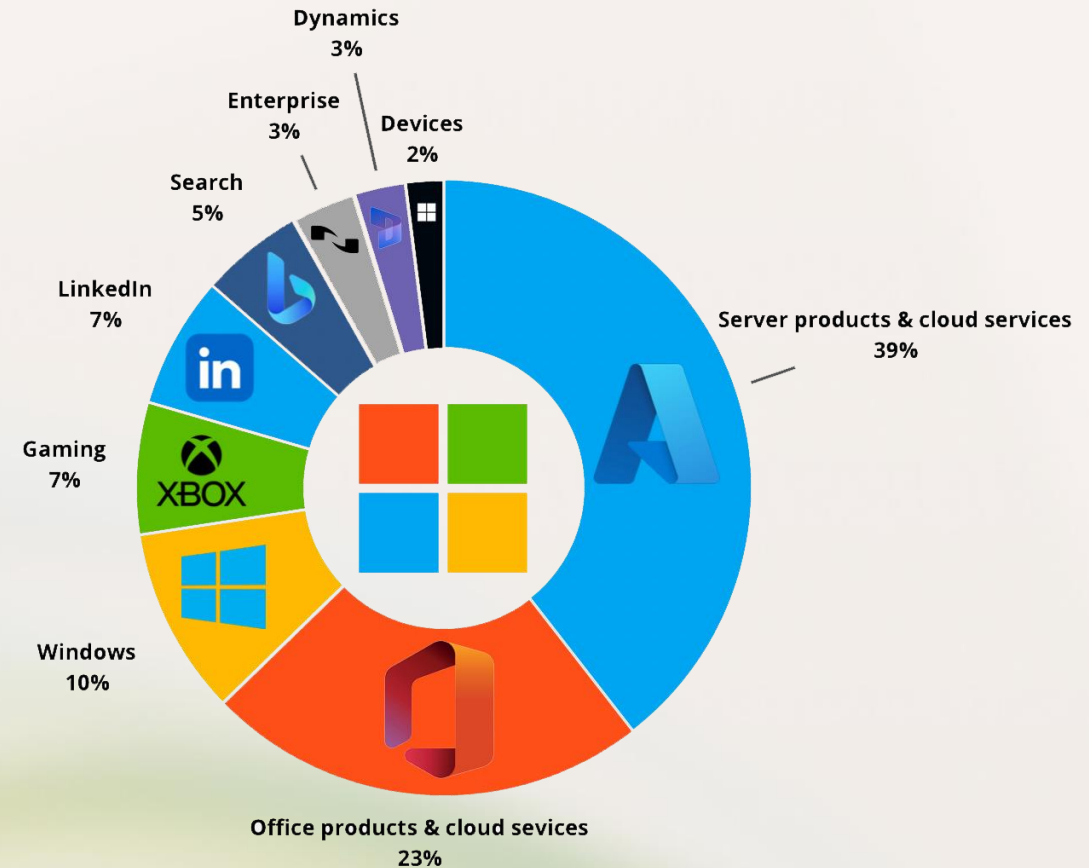


- Generated \$105 billion in revenue
- Up 20% over the previous year



More Personal Computing

- Generated \$62 billion in revenue
- Up 13% from 2023



Microsoft's Key Strengths

Leading Software Company

- Global Market Leadership in Software Technology
- Offers Diverse Products for Individuals and Enterprises
- Extensive Global Reach in over 190 countries

Robust Financial Performance

- Strong Revenue Growth
- Increasing Operating Income
- Significant Cash Reserves

Strong Distribution Channels

- Partnerships with Major Hardware Producers
- Collaboration with Major Retailers
- Strategic Investments in Key Partners

Brand Reputation and Loyalty

- Highly Valuable Brand
- Extraordinary Loyal Customer Base



Microsoft's Weaknesses

Dependence on Hardware Manufacturers

- Microsoft depends on external hardware manufacturers for devices running Windows OS.
- If a popular and cost-effective alternative OS emerges, manufacturers might switch.

Slow to Innovate

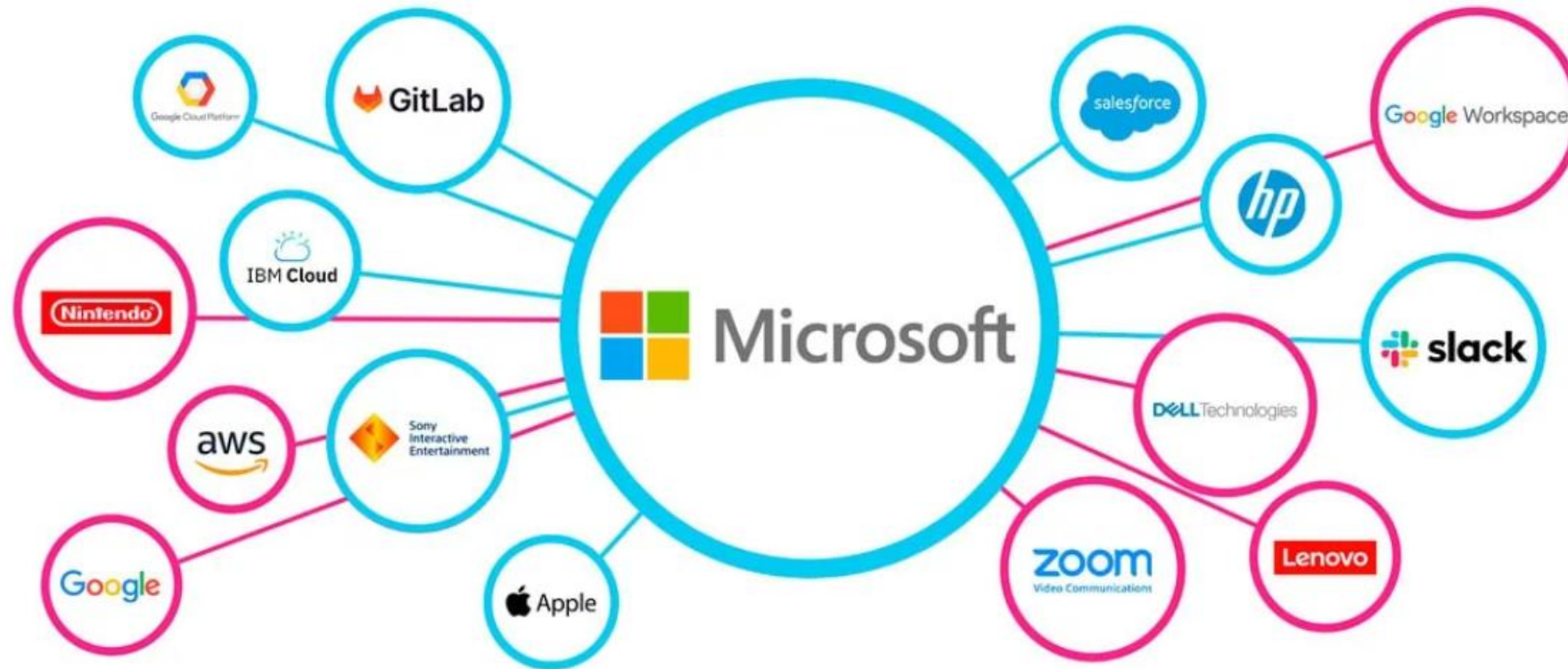
- Slow to enter new market
- Missed early opportunities in online advertising and mobile OS

Criticism Over Security Flaws

- Vulnerability to viruses and cyberattacks
- Comparative Insecurity



TOP 15 MICROSOFT COMPETITORS AND ALTERNATIVES

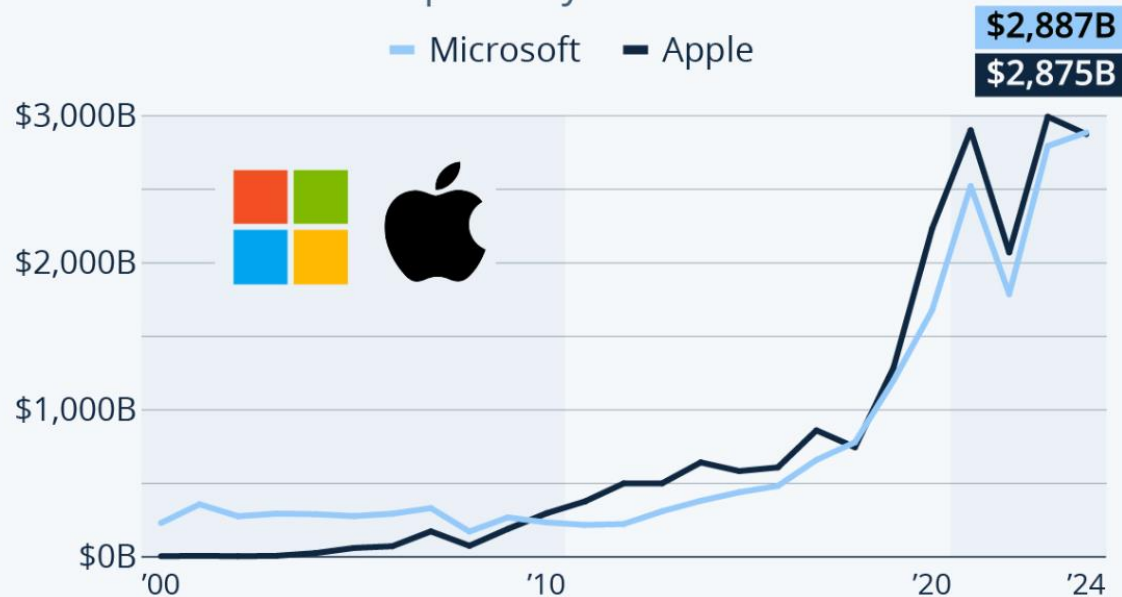


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Microsoft Pulls Ahead (Again) in Long Rivalry With Apple

Market capitalization of Microsoft and Apple at the end of the respective year*



* 2024 data as of market close on Jan. 12

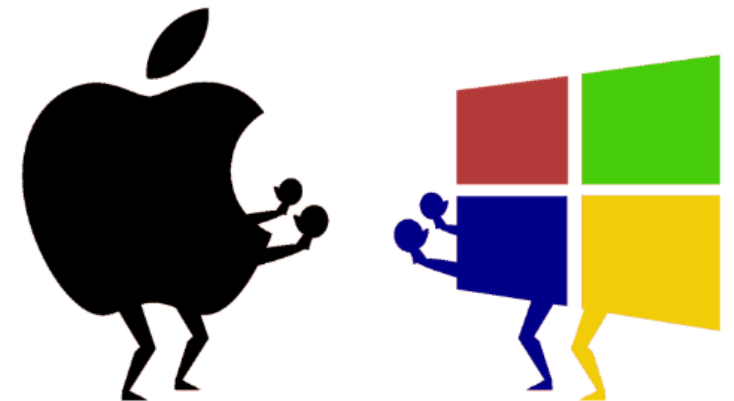
Source: Morningstar via Wolfram | Alpha Knowledgebase



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Partnership – OpenAI



1. Microsoft has invested close to \$11B into OpenAI.
2. Microsoft has an exclusive license to OpenAI's GPT-3 model, allowing it to integrate and use the model in its own products and services.
3. Microsoft has integrated OpenAI's technologies into various products, including Microsoft Office and Dynamics 365.

Hurdles

- Cybersecurity and data privacy.
- AI Safety.
- AI and cloud Infrastructure Scaling.
- Innovation and differentiation.
- Market Competition.
- Market saturation and ensuring Microsoft products remain relevant and competitive.



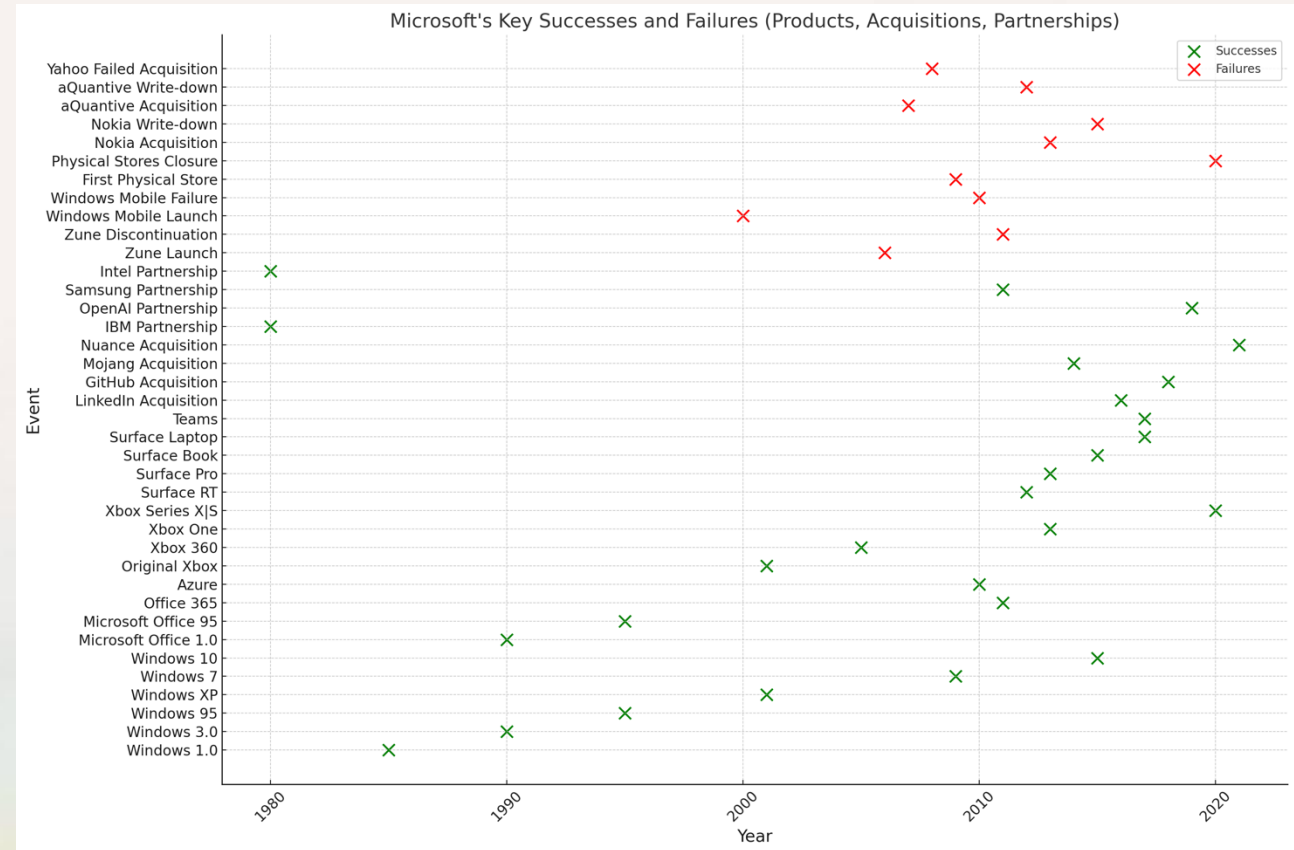
Prospects

Past Failures:

- Mobile operating systems and Windows Mobile.
- Zune
- Physical stores
- Nokia acquisition

Prospects:

- Sustaining leadership in personal computing.
- Leveraging Lessons from the Past.
- Exploring New Technological Frontiers.
- Investing in new frontiers of technology.
- Championing Sustainable Innovation.
- Nurturing Innovation through Start-Up Collaborations.



Mission Impossible: Outplaying Microsoft

- Billion Daily Active Users.
- Unlimited Financial Resources to build and buy.
- Friends to build the fastest growing consumer product in Human History.
- Mastering corporate curveballs.
- Manifest a vision to redefine how humans work (multiple times).
- Growth mindset.
- Certainly, leverage AI to improve presentations and productivity.



Any Questions?

